

2000 TATA TEA-TETLEY MERGER

The Cup that Cheered

Tata, a strong player at home, became a global competitor with this acquisition

It was dubbed the acquisition of a global shark by an Indian minnow. Literally, it was. Tata Tea, a mere \$114 million company that sold commodity tea, acquired the global brand Tetley for \$450 million, three times its size. In many ways, the audacious acquisition of the Summer of 2000 has defined the growth of Tatas and of India Inc. Indeed the Tetley acquisition was almost the clarion call. Almost prophetically, Tata Sons chairman Ratan Tata said, "It is a bold move and I hope that other Indian corporates will follow". India Inc did follow. The biggest hunter, Tata Sons, has since acquired over 36 global corporations, investing nearly \$30 billion and Indian companies have marched with the beat, acquiring since then over 400 companies across domains from steel to textiles, from aircraft to toolkits, unleashing the Indian entrepreneurial spirit backed by the world's largest free market democracy. The rush had rationale and gutsy articulation. Videocon chairman Venugopal Dhoot, who acquired the world's largest picture tube company, Thomson, explained, "We may not be a borderless world yet, but costs and competition have no borders". Embedded in that remark was the recognition of the fact that Indian companies would be able to retain market shares at home only if they took the battle to global marts. Anand Mahindra, deputy chairman and managing director of Mahindra, put it simply, "You are not safe at home unless you are globally competitive". The move not only brought access to technology, managerial systems and market share, but also kindled the interest of global financial players in India. And the benefits are all there to see. All the Tata companies together earned just around \$9 billion in 2000 when Tata Sons acquired Tetley. Today, Tata Sons' net revenue is in excess of \$71 billion, of which two-thirds is from overseas operations.

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KRISHNA KUMAR
OF TATA SONS

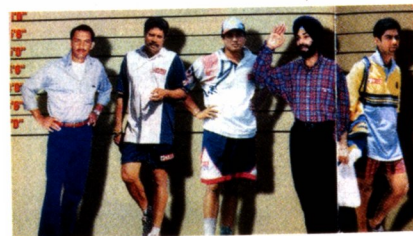
Globalisation is best reflected in the national accounts. India's GDP rocketed from \$467 billion in 2000 to \$1.3 trillion in 2009, taking the per capita income to over \$1,000. Once Indian companies had tasted blood, there was no stopping them. Even as the world shivered post-meltdown, Indian companies were the first to go hunting. Indian IT companies have invested \$1.8 billion in 47 deals. Sunil Mittal placed \$24 billion on the table to create a telecom behemoth by buying South African MTN. Mukesh Ambani's Reliance Industries Limited was out punting nearly \$10 billion for Dutch petrochemical company LyondellBasell and Mahindras are scouting for an aerospace company. As the architect of the first big acquisition Krishna Kumar of Tata Sons puts it, "If you want to be a strong player, you can't not be a global player". India Inc and Economy India have both learnt that.

by Shankar Aiyar

THE MAIN EVENT

Match-fixing Scandal

There are, Napoleon said, different ways of killing a man: by pistol, sword, poison or by moral assassination. "They are the same in their results except that the last is more cruel." There may be no end in sight to cricket's current travails, but the men at the centre of the storm—coach Kapil Dev and former captains Mohammed Azharuddin and Ajay Jadeja—can consider themselves morally assassinated. The CBI has called them in for questioning and taxmen have walked into their bedrooms, trampled over their lawns and rifled through their private papers. Yet, the first impact of these past four months will only be felt when the se-



THE USUAL SUSPECTS

lectors sit down to pick the team for the Sahara Cup. Kapil's term as coach has played 99 Tests and dreams of a 100th, and Jadeja has just shouldered his way back. But can they hold on to their jobs? Should they, at a time when holding onto integrity is proving to be an ordeal? Chairman of selectors Chandu Borde backpedals fiercely, stating that "the directive must come from the board president" because "this is another matter". *India Today*, August 7, 2000

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BETWEEN 2005-09, INDIAN COMPANIES ACQUIRED 516 FOREIGN FIRMS AND INVESTED OVER \$47 BILLION.